

Mindteck Inc.

Financial statements

March 31, 2017 and 2016

(With Independent Auditors' Report thereon)

MINDTECK INC.
Financial Statements
March 31, 2017 and 2016

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Independent Auditors' Report

The Board of Directors of Mindteck (India) Limited:

Report on the Financial Statements

We have audited the accompanying financial statements of Mindteck Inc. ('the Company'), which comprise the balance sheets as of March 31, 2017 and 2016, and the related statements of income and comprehensive income, changes in stockholders' equity, and cash flows for the years then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with U.S. generally accepted accounting principles, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Auditors' Responsibility

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. 'Reasonable assurance' is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing (ISAs) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.



- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, then we are required to draw attention in our auditors' report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the Company or business activities within the Company to express an opinion on the financial statements. We are responsible for the direction, supervision and performance of the audit. We remain solely responsible for our audit opinion.
- We communicate with the management regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
- We also provide the management with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence and where applicable, related safeguards.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Company as at March 31, 2017 and 2016, and the results of its operations and its cash flows for the years then ended in accordance with U.S. generally accepted accounting principles.

KPMG

Bangalore, India

July 29, 2017

MINDTECK INC.
BALANCE SHEETS
(In United States Dollars)

<u>Assets</u>	<u>As of March 31, 2017</u>	<u>As of March 31, 2016</u>
<i>Current assets:</i>		
Cash and cash equivalents	1,126,787	1,916,285
Accounts receivable from affiliates (Notes 3 & 10)	162,677	421,071
Accounts receivable, net of allowances (Note 3)	7,350,088	5,531,540
Unbilled revenue	1,544,176	1,414,697
Loan to affiliates (Note 10)	185,960	332,960
Deferred income tax asset (Note 9)	175,935	-
Income tax assets	152,250	159,135
Other current assets (Note 4)	121,326	108,681
Total current assets	10,819,199	9,884,369
Plant and equipment, net (Note 5)	38,881	61,829
Goodwill (Note 6)	2,219,224	2,219,224
Deposits	39,013	40,775
Total assets	13,116,317	12,206,197
 <u>Liabilities and Stockholders' equity</u>		
<i>Current liabilities:</i>		
Accounts payable	724,189	586,988
Accounts payable to affiliates (Note 10)	659,584	852,414
Income tax liabilities	266,746	5,542
Other current liabilities (Note 8)	1,425,941	1,463,907
Unearned revenue	4,495	103,989
Compensated absences	346,613	359,614
Total current liabilities	3,427,568	3,372,454
Income taxes payable	4,334	-
Deferred income tax liability (Note 9)	381,480	564,635
Total liabilities	3,813,382	3,937,089
Stockholders' equity		
Common stock, \$1 par value; Authorized 250,000 shares; issued and outstanding 19,000 shares	19,000	19,000
Additional paid-in capital	8,141,699	8,130,281
Retained earnings	1,142,236	119,827
Total stockholders' equity	9,302,935	8,269,108
Total liabilities and stockholders' equity	13,116,317	12,206,197

See accompanying notes to financial statements.

MINDTECK INC.
STATEMENTS OF INCOME AND COMPREHENSIVE INCOME
(In United States Dollars)

	<u>Year ended March 31, 2017</u>	<u>Year ended March 31, 2016</u>
Revenues	36,515,924	33,122,773
Operating expenses:		
Cost of revenues (excluding depreciation and amortization)	(30,289,685)	(27,804,093)
Selling, general and administrative expenses (excluding depreciation and amortization)	(5,219,899)	(4,638,261)
Depreciation and amortization (Note 5)	(36,847)	(33,259)
Total operating expenses	<u>(35,546,431)</u>	<u>(32,475,613)</u>
Operating income	969,493	647,160
Other income	5,257	4,028
Interest (expense) / income	(1,831)	1,018
Income before income taxes	972,919	652,206
Income tax benefit / (expense) (Note 9)	49,490	(90,194)
Net income	<u>1,022,409</u>	<u>562,012</u>
Other comprehensive income	-	-
Comprehensive income	<u>1,022,409</u>	<u>562,012</u>

See accompanying notes to financial statements.

MINDTECK INC.
STATEMENTS OF CHANGES IN STOCKHOLDERS' EQUITY
(In United States Dollars, except share data)

	Common Stock Number of shares	Amount	Additional Paid-in Capital	(Accumulated deficit)/Retaine d earnings	Accumulated Other Comprehensive income	Total Stock holders' equity
Balances at April 1, 2015	19,000	19,000	8,123,979	(442,185)	-	7,700,794
Stock compensation expense [Note 11]	-	-	6,302	-	-	6,302
Net income	-	-	-	562,012	-	562,012
Other comprehensive income	-	-	-	-	-	-
Balances as of March 31, 2016	19,000	19,000	8,130,281	119,827	-	8,269,108
Stock compensation expense [Note 11]	-	-	11,418	-	-	11,418
Net income	-	-	-	1,022,409	-	1,022,409
Other comprehensive income	-	-	-	-	-	-
Balances as of March 31, 2017	19,000	19,000	8,141,699	1,142,236	-	9,302,935

See accompanying notes to financial statements.

MINDTECK INC.
STATEMENTS OF CASH FLOWS
(In United States Dollars)

	<u>Year ended</u> <u>March 31, 2017</u>	<u>Year ended</u> <u>March 31, 2016</u>
Cash flows from operating activities:		
Net income	1,022,409	562,012
<i>Adjustments to reconcile net income to net cash provided by operating activities:</i>		
Depreciation	36,847	33,259
Stock compensation expense	11,418	6,302
Deferred income tax (credit) / expense	(359,090)	69,573
<i>Changes in operating assets and liabilities</i>		
Accounts receivable and unbilled revenue	(1,689,633)	556,085
Other assets and deposits	(10,883)	(13,633)
Income taxes	272,423	(9,391)
Accounts payable	(55,629)	(302,072)
Other liabilities	(150,461)	(470,055)
Net cash (used in) / provided by operating activities	(922,599)	432,080
Cash flows from investing activities:		
Expenditure on plant and equipment	(13,899)	(10,005)
Proceeds from sale of plant and equipment	-	51,628
Loan repaid by / (given to) Mindteck Singapore Pte Ltd	147,000	(147,000)
Net cash provided by / (used in) investing activities	133,101	(105,377)
Net changes in cash and cash equivalents	(789,498)	326,703
Cash and cash equivalents at beginning of year	1,916,285	1,589,582
Cash and cash equivalents at end of year	<u><u>1,126,787</u></u>	<u><u>1,916,285</u></u>
Supplementary information:		
Cash paid for interest	2,214	2,033
Cash received for interest	383	1,239
Income taxes paid	37,177	30,012

See accompanying notes to financial statements.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

1. Organization and description of the business

Mindteck Inc. ("the Company"), is a software development and consulting company headquartered in Camp Hill, Pennsylvania. The Company was incorporated in November 1995 and is a wholly owned subsidiary of Mindteck (India) Limited ('MIL').

2. Summary of Significant Accounting Policies

(a) Basis of preparation of financial statements:

The accompanying financial statements have been prepared in conformity with U.S. Generally Accepted Accounting Principles (U.S. GAAP).

(b) Use of estimates:

The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions. These estimates and assumptions affect the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Significant estimates and assumptions are used for, but not limited to, accounting for costs and efforts expected to be incurred to complete performance under software development arrangements, allowance for uncollectible accounts receivable, the useful lives of plant and equipment and intangible assets, income tax valuation allowances and reserve for uncertain tax positions. Actual results could differ from those estimates. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates are reflected in the financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the financial statements.

(c) Revenue recognition:

The Company derives its revenues primarily from software development and technical consultancy services. Software development and technical consultancy services are performed under both time-and-material and fixed-price arrangements. Revenues are recognized as the services are rendered for time-and-material contracts and for fixed fee arrangements, on a proportional performance basis based on actual direct costs in relation to total estimated costs. Revenues are recognized when persuasive evidence of an arrangement exists, the sales price is fixed or determinable and collectability is reasonably assured.

Revenues are recognized net of value added tax, service tax and applicable discounts.

The Company records reimbursable out-of-pocket expenses in both revenues and as cost of revenue.

Costs and earnings in excess of billings are classified as unbilled revenue while billings in excess of costs and earnings are classified as unearned revenue.

Interest income is recognized using the time proportion method, based on the transactional interest rates.

(d) Cash and cash equivalents:

The Company considers all highly liquid investments with a remaining maturity at the date of purchase of three months or less and that are readily convertible to known amounts of cash to be cash equivalents. Cash and cash equivalents comprise cash and cash on demand deposit with banks.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

(e) Fair value of financial instruments and concentration of credit risk:

The amounts reflected for cash and cash equivalents, billed and unbilled receivables and accounts payable approximate their fair value due to their short maturities. Financial instruments that potentially subject the Company to concentration of credit risk consist primarily of cash and cash equivalents and billed and unbilled receivables. The Company mitigates its risk with respect to cash and cash equivalents by maintaining its deposits with financial institutions. The accounts receivable, net of allowances, amounted to USD 7,512,765 and USD 5,952,611 as of March 31, 2017 and 2016 respectively. Two customers accounted for 37% and 15% of total revenues in 2017 and accounted for 26% and 18% of total revenues in 2016. The amounts due from these customers accounted for 46% and 11% of accounts receivable as of March 31, 2017 and 27% and 14% as of March 31, 2016.

Accounts receivable are recorded at the invoiced amount and do not bear interest. The carrying amount of the accounts receivable is reduced by an allowance for doubtful accounts that reflects management's best estimate of the amounts that will not be collected.

(f) Plant and equipment, net:

Plant and equipment are stated at cost less accumulated depreciation. The costs of additions are capitalized, while repairs and maintenance are charged to expense as incurred. The Company depreciates plant and equipment over the estimated useful life using the straight-line method. The estimated useful lives of assets are as follows:

Asset classification	Useful life
Computer and office equipment	3 years
Software	3 years
Furniture and fixtures	5 years
Leasehold improvements	7 years

Assets under leasehold improvements are amortized over their estimated useful life or the lease term, whichever is lower.

(g) Business combinations, goodwill and intangible assets:

The Company accounts for its business combinations by recognizing the identifiable tangible and intangible assets and liabilities assumed, and any non-controlling interest in the acquired business, measured at their acquisition date fair values. Fair value of contingent consideration is included in the purchase consideration and transaction costs are expensed as incurred.

The Company does not amortize goodwill but instead tests goodwill for impairment at least annually, using a two-step impairment process. The fair value of the reporting unit is first compared to its carrying value (including goodwill). The fair value of the reporting units is determined using a combination of valuation techniques including discounted cash flow analysis and market value approaches based on multiples. If the fair value of the reporting unit exceeds the carrying value of the net assets assigned to that unit, goodwill is not impaired. If the carrying value of the net assets assigned to the reporting unit exceeds the fair value of the reporting unit, then the implied fair value of the reporting unit's goodwill is compared with the carrying value of the reporting unit's goodwill. The implied fair value of goodwill is determined in the same manner as the amount of goodwill recognized in a business combination. If the carrying value of a reporting unit's goodwill exceeds its implied fair value, then an impairment loss equal to the difference is recorded.

Intangible assets acquired individually, with a group of other assets or in a business combination are carried at cost less accumulated amortization.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

(h) Impairment or disposal of long-lived assets:

Long-lived assets to be held and used are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of such assets may not be recoverable. Such assets are considered to be impaired if the carrying amount of the assets is higher than the future undiscounted net cash flows expected to be generated from the assets. The impairment amount to be recognized is measured by the amount by which the carrying value of the assets exceeds its fair value. The Company measures long-lived assets held-for-sale, at the lower of carrying amount or fair value, less costs to sell.

(i) Income taxes:

Income taxes are accounted for under the asset and liability method. The current charge for income taxes is calculated in accordance with the relevant tax regulations applicable to the Company. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to temporary differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases and operating loss carry-forwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in income in the period that includes the enactment date. The measurement of deferred tax assets is reduced, if necessary, by a valuation allowance for any tax benefits of which future realization is not more likely than not. Changes in valuation allowance from period to period are reflected in the statement of income in the period of change. Tax benefits of deduction earned on exercise of stock options in excess of compensation charged to earnings are credited to additional paid in capital.

The Company recognizes the effect of income tax positions only if those positions are more likely than not of being sustained. Recognized income tax positions are measured at the largest amount that is greater than 50% likely of being realized. Changes in recognition or measurement are reflected in the period in which the change in judgment occurs.

The Company recognizes interest and penalties related to unrecognized tax benefits in income tax expense.

ASC 740 clarifies the accounting for uncertainty in income taxes recognized in an enterprise's financial statements and prescribes a recognition threshold and measurement attribute for the financial statements recognition and measurement of a tax position taken or expected to be taken in a tax return. The Company is required to recognize in the financial statements the impact of a tax position, if that position is more likely than not of being sustained on audit, based on the technical merits of the position. For the year ended March 31, 2017, the Board of Directors identified no material uncertain income tax positions relevant to the jurisdictions where the Company is required to file income tax returns.

(j) Compensated absences:

The Company's liability towards compensated absences is accounted for on the basis of unavailed encashable leave balances at applicable encashable rates.

(k) Foreign currency translation:

The Company's functional currency and reporting currency is the United States Dollar (USD/\$). Foreign currency denominated assets and liabilities are translated into the functional currency at exchange rates in effect at the balance sheet date. The gains or losses resulting from such translations are included in earnings. Transaction gains or losses realized upon settlement of foreign currency transactions are included in determining net income for the period in which the transaction is settled. Revenue, expense and cash-flow items denominated in foreign currencies are translated into the functional currency using the exchange rate in effect on the date of the transaction.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

(l) Employee stock options:

Certain employees of the Company have been granted stock options under MIL's Mindteck Employee Stock Option Scheme, 2005, which gives such employees the right to purchase equity shares of MIL on exercise.

The Company accounts for its employee stock-based compensation awards measuring and recognizing compensation expense for all stocks-based payments awards based on the grant date fair value of those awards.

For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

(m) Commitments and contingencies

Liabilities for loss contingencies arising from claims, assessments, litigations, fine and penalties and other sources are recorded when it is probable that a liability has been incurred and the amount of the assessment and/or remediation can be reasonably estimated.

(n) Leases

(i) Operating leases

Leases where the lessor effectively retains substantially all the risks and benefits of ownership of the leased asset are classified as operating leases. Payments for assets acquired under an operating lease are recognized in the statement of operations over the term of the lease on a straight-line basis.

(ii) Capital leases

Assets acquired under capital leases are initially recognized at the lower of the fair value of the leased assets at inception and the present value of minimum lease payments. Lease payments are apportioned between finance charges and reduction of the outstanding liability. Finance charges are allocated to periods during the lease term at a constant periodic rate of interest on the remaining balance of the liability.

(o) Cost of revenues and selling, general and administrative expenses

Cost of revenue primarily includes the compensation cost of technical staff, travel costs, sub-contractor costs, data and portal expenses, and other expenses that are related to the generation of revenue.

Selling, general and administrative expenses generally include the compensation cost of sales, management and advisory personnel, travel costs, training cost, advertising, business promotion, rent, repairs, electricity, communication expenses and other general expenses not attributable to cost of revenue.

Advertising costs are expensed as incurred and are included in selling, general and administrative expenses.

(p) Recently Issued Accounting Standards

(i) In May 2014, the FASB issued ASU 2014-09, Revenue from Contracts with Customers, which requires a company to recognize revenue when the company transfers control of promised goods and services to the customer. Revenue is recognized in an amount that reflects the consideration a company expects to receive in exchange for those goods or services. A company also is required to disclose sufficient quantitative and qualitative information to enable users of financial statements to understand the nature, amount, timing, and uncertainty of revenue and cash flows arising from contracts with customers. The FASB also has issued several amendments to the standard, which are intended to promote a more consistent interpretation and application of the principles outlined in the standard.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

(p) Recently Issued Accounting Standards (continued)

Companies are permitted to adopt the standard using a retrospective transition method (i.e., restate all prior periods presented) or a cumulative effect method (i.e., recognize the cumulative effect of initially applying the guidance at the date of initial application with no restatement of prior periods). However, both methods allow companies to elect certain practical expedients on transition that will help to simplify how a company restates its contracts. The Company currently anticipates adopting the standard using the cumulative effect method and expects to elect the practical expedient for contract modifications.

The new standard is effective for the Company for annual periods in fiscal years beginning after December 15, 2018. All companies are permitted to early adopt the standard beginning January 1, 2017. The Company will implement the provisions of ASU 2014-09 as of April 1, 2019.

(ii) In February 2016, the FASB issued ASU 2016-02, Leases (Topic 842), which requires lessees to recognize leases on-balance sheet and disclose key information about leasing arrangements. The new standard establishes a right of use (ROU) model that requires a lessee to recognize a ROU asset and lease liability on the balance sheet for all leases with a term longer than 12 months. Leases will be classified as finance or operating, with classification affecting the pattern and classification of expense recognition in the income statement.

The new standard is effective for the Company on January 1, 2020, with early adoption permitted. The Company will implement the provisions of ASU 2016-02 as of April 1, 2019.

3. Accounts receivable:

Accounts receivable consists of:

	2017	2016
Accounts receivable from affiliates (Refer Note 10)	<u>162,677</u>	<u>421,071</u>
Accounts receivable, gross	7,382,525	5,554,345
Less: Allowance for doubtful accounts	(32,437)	(22,805)
Accounts receivable, net of allowances	<u>7,350,088</u>	<u>5,531,540</u>

The Company maintains an allowance for doubtful accounts based on financial condition of the customer and ageing of the accounts receivable. The activity in the allowance for doubtful debts for account receivable is as follows:

	2017	2016
Allowance at the beginning of the year	22,805	22,805
Provided during the year	9,632	-
Allowance at the end of the year	<u>32,437</u>	<u>22,805</u>

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

4. Other current assets:

Other current assets consist of the following:

	2017	2016
Prepaid expenses	99,127	36,705
Advances to suppliers and others	1,320	47,096
Deposits	20,879	24,880
	<u>121,326</u>	<u>108,681</u>

5. Plant and equipment, net:

Plant and equipment, net consist of the following:

	2017	2016
Computer equipment	393,494	379,596
Furniture and fixtures & office equipment	224,249	224,248
Leasehold improvements	179,092	179,092
	<u>796,835</u>	<u>782,936</u>
Accumulated depreciation	(757,954)	(721,107)
	<u>38,881</u>	<u>61,829</u>

Depreciation expense amounted to USD 36,847 and USD 33,259 for the years ended March 31, 2017 and 2016 respectively.

6. Goodwill:

Goodwill of \$ 2,219,224 represents the excess of the aggregate purchase price over the fair value of net assets acquired in connection with a business combination that was consummated during the year ended March 31, 2006.

Goodwill is tested for impairment at least annually. The fair value of the Company's reporting unit was determined on the basis of an independent valuation using the market approach and the discounted cash flow approach. No impairment was identified as of March 31, 2017 and 2016.

7. Borrowings from bank:

On December 19, 2008, the Company entered into a revolving line of credit with Citizens Bank that permitted the Company to draw up to USD 2,000,000 through 2017, bearing interest at LIBOR plus 2% for the years ended March 31, 2017 and 2016. The Company must also pay an unused fee of 0.10% for the years ended March 31, 2017 and 2016. The applicable interest rate was 2.98% and 2.43% for the years ended March 31, 2017 and 2016 respectively. The unused fee was 0.10% as of March 31, 2017 and 2016. At March 31, 2017 and 2016, the Company had USD 2,000,000 available to be drawn down under this facility.

Borrowings are collateralized by a first lien on accounts receivable and a pledge on all business assets of the Company. MIL, the parent company, has issued a corporate guarantee of USD 2,000,000 on behalf of the Company, to Citizens Bank towards the line of credit facility. The agreement contains financial covenants and restrictions on indebtedness. The interest and unused fee on the above facility amounting to USD 2.033 and USD 2.033 for the years ended March 31, 2017 and 2016 respectively have been charged to interest expense.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

8. Other current liabilities:

Other current liabilities consist of:

	2017	2016
Accrued expenses	1,333,509	1,409,180
Statutory liabilities	92,432	54,727
	<u>1,425,941</u>	<u>1,463,907</u>

9. Income taxes:

The income tax expense during the years ended March 31, 2017 and 2016 consist of the following:

	2017	2016
Current taxes		
Federal	265,538	1,233
State	44,062	19,388
	<u>309,600</u>	<u>20,621</u>
Deferred taxes		
Federal	(272,706)	8,065
State	(86,384)	61,508
	<u>(359,090)</u>	<u>69,573</u>
Income tax (benefit) / expense	<u>(49,490)</u>	<u>90,194</u>

Income tax benefit for the current year attributable to income from continuing operations differed from the amounts computed by applying the US federal statutory income tax rate of 34% primarily due to increase in uncertain tax positions as per the guidelines of ASC 740 and change in valuation allowance.

Deferred income taxes reflect the net effects of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of net deferred tax assets and liabilities as of March 31, 2017 and 2016 are as follows:

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

	2017	2016
9. Income taxes (continued):		
Deferred tax assets:		
Bad debt reserve	12,552	8,785
Carry forward business losses	2,844	146,209
Intangible assets	134,149	166,938
Accrued expenses and liabilities	159,311	162,266
Plant and equipment	36,846	29,877
Others	72,639	71,065
Total gross deferred tax asset	418,341	585,140
Less: Valuation allowance	-	(585,140)
Total deferred tax assets	418,341	-
Deferred tax liabilities:		
Goodwill	(623,886)	(564,635)
Net deferred tax liability	(205,545)	(564,635)
Classified as		
Deferred tax asset – Current	175,935	-
Deferred tax asset – Non-current	-	-
Deferred tax liability – Non-current	381,480	564,635

Management establishes a valuation allowance on deferred tax assets when it is more likely than not that the benefit of such deferred tax assets will not be realised. The ultimate realization of deferred tax assets is dependent upon management's assessment of the Company's ability to generate taxable income during the periods in which the temporary differences become deductible. Based on the historical level of taxable income and projections of future taxable income over the periods in which the deferred tax assets are deductible, management believes that it is more likely than not the Company will realize the benefits of these deductible differences net of the existing valuation allowances at March 31, 2017 and 2016. Management's assessment in the near term is subject to change if estimates of future taxable income are reduced.

The Company has recorded a valuation allowance of USD Nil and USD 585,140 as at March 31, 2017 and March 31, 2016 respectively representing a decrease in valuation allowance of USD 585,140 primarily on account of utilization of past carryforward losses during the current year. Management based on its future business projections believes that it is more likely than not that the Company will be able to utilize the deferred tax asset.

As of March 31, 2017 and 2016, the Company has federal and state net operating loss carry forwards of USD Nil and USD 583,401 respectively available to offset future taxable income, which expire in various years beginning in 2017.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

9. Income taxes (continued):

The Company had net operating loss carryforwards which were subject to limitation under section 382 of US Code. The tax years still open under the statute of limitations that have utilized 382 tainted net operating losses are March 31, 2014 to March 31, 2016. The Company used USD 1,805,500 of section 382 limited net operating losses during these years. As of March 31, 2017, the Company no longer has sufficient non-382 limited net operating loss to offset the income, should the net operating loss utilization be challenged. Therefore, as of March 31, 2017 and 2016, the Company had federal cash tax exposure of USD 260,728 and USD Nil respectively, for uncertain tax positions.

As of March 31, 2017 and 2016, the liability for unrecognized tax benefits was USD Nil and USD Nil including accrual for interest of USD Nil and USD Nil, respectively.

The Company files federal and various state tax returns. As a result of the net operating losses in prior years, the federal statute of limitations will remain open for a period following any utilization of the net operating loss carry forwards, and as such, these periods remain subject to examination for tax years after 2014. With few exceptions, the state filings are no longer subject to examination by the tax authorities for tax years before 2014. The Company is currently not under examination by the Internal Revenue Service or any other taxing authority.

10. Related party transactions

The Company has also entered into the following significant transactions with related parties:

	2017	2016
Expenses incurred by the Company and reimbursed by:		
a) Mindteck (India) Limited – holding company	329,564	380,444
b) Mindteck UK Limited - fellow subsidiary	26,315	21,253
c) Mindteck Singapore Pte Ltd– fellow subsidiary	2,142	2,771
d) Mindteck Germany GmbH– fellow subsidiary	88,945	271,521
e) Mindteck Malaysia – fellow subsidiary	450	1,127
f) Mindteck Middle East Limited SPC - fellow subsidiary	302	-
Subcontracting costs:		
a) Mindteck (India) Limited – holding company	4,171,863	6,285,220
b) Mindteck Singapore Pte Ltd– fellow subsidiary	308,314	167,673
c) Mindteck UK Limited - fellow subsidiary	-	34,045
Reimbursement by the Company of the expenses incurred by:		
a) Mindteck (India) Limited – holding company	1,430,522	1,095,003
b) Mindteck UK Limited - fellow subsidiary	-	2,485

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10. Related party transactions (continued)

The balances receivable from and payable to related parties as at March 31, 2017 and 2016 are as follows:

Accounts receivable

	2017	2016
Mindteck (India) Limited - holding company	72,355	351,906
Mindteck Germany GmbH - fellow subsidiary	89,375	65,667
Mindteck Malaysia – fellow subsidiary	45	1,127
Mindteck Middle East Limited SPC - fellow subsidiary	45	-
Mindteck Singapore Pte Ltd - fellow subsidiary	45	2,328
Mindteck UK Limited - fellow subsidiary	812	43
Total	<u>162,677</u>	<u>421,071</u>

Accounts payables

	2017	2016
Mindteck (India) Limited – holding company	581,359	806,799
Mindteck Singapore Pte Ltd – fellow subsidiary	78,225	45,615
Total	<u>659,584</u>	<u>852,414</u>

Loan to affiliates

	2017	2016
Mindteck Middle East Limited SPC - fellow subsidiary	185,960	185,960
Mindteck Singapore Pte Ltd - fellow subsidiary	-	147,000

Loan to Mindteck Middle East Limited SPC is interest-free and repayable on demand. Loan to Mindteck Singapore Pte Ltd carried interest of 2% with an option to pay anytime on or before 10 August 2017. The loan was repaid on 12 May 2016.

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11. Stock option plan

Mindteck Employees Stock Option Scheme 2005

Mindteck (India) Limited introduced the 'Mindteck Employees Stock Option Scheme 2005' ('the Option Scheme 2005') for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on July 4, 2005 and the shareholders meeting held on July 29, 2005. The Option Scheme 2005 provides for the creation and issue of 500,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.16 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors of MIL. The options vest annually in a graded manner over a three year period and are exercisable during a maximum period of five years from the date of vesting.

The Company has granted Nil options during the year ended March 31, 2017 and 9,600 options during the year ended March 31, 2016.

Stock option activity under the Option Scheme 2005 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price (\$)	
	2017	2016	2017	2016
Outstanding at the beginning of the year	30,300	25,500	0.33	0.40
Granted during the year	-	9,600	-	1.97
Forfeited and lapsed during the year	(4,800)	(4,800)	2.02	1.97
Exercised during the year	-	-	-	-
Outstanding at the end of the year	25,500	30,300	0.39	0.33
Exercisable at the end of the year	22,700	19,900	0.36	0.63

The following table summarizes information relating to stock options outstanding under the Option Scheme 2005 as of March 31, 2017 and 2016:

Exercise price (\$)	Shares arising out of outstanding no. of options		Weighted average remaining contractual life		Shares arising out of exercisable no. of options	
	2017	2016	2017	2016	2017	2016
0.33	-	30,300	-	3.81	-	19,900
0.39	25,500	-	-	-	-	-
0.36	-	-	2.28	-	22,700	-
	<u>25,500</u>	<u>30,300</u>			<u>22,700</u>	<u>19,900</u>

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
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11. Stock option plan (continued)

Mindteck Employees Stock Option Scheme 2008

Mindteck (India) Limited introduced the 'Mindteck Employees Stock Option Scheme 2008' ('the Option Scheme 2008') for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on May 27, 2008 and the shareholders meeting held on July 30, 2008. The Option Scheme 2008 provides for the creation and issue of 1,200,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.16 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors. The options will vest after the expiry of a period of twelve months from the date on which the options are granted. The vesting term and the period over which the options are exercisable is to be decided by the Nomination & Remuneration Committee of the Board of Directors.

The Company has granted 108,400 options during the year ended March 31, 2017 and nil options during the year ended March 31, 2016.

Stock option activity under the Option Scheme 2008 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price (\$)	
	2017	2016	2017	2016
Outstanding at the beginning of the year	35,000	50,000	0.66	0.66
Granted during the year	108,400	-	1.41	-
Forfeited and lapsed during the year	(10,000)	(15,000)	0.66	0.66
Exercised during the year	-	-	-	-
Outstanding at the end of the year	133,400	35,000	1.28	0.66
Exercisable at the end of the year	16,667	11,667	0.66	0.66

The following table summarizes information relating to stock options outstanding under the Option Scheme 2008 as of March 31, 2017 and 2016:

Exercise price (\$)	Shares arising out of outstanding no. of options		Weighted average remaining contractual life		Shares arising out of exercisable no. of options	
	2017	2016	2017	2016	2017	2016
0.66	-	35,000	-	5.37	16,667	11,667
1.28	133,400	-	5.97	-	-	-
	133,400	35,000			16,667	11,667

During the year ended March 31, 2017 and 2016, the Company recognized approximately USD 11,418 and USD 6,302 as stock-based compensation expense respectively. For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

MINDTECK INC.
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11. Stock option plan (continued)

The Company has granted 108,400 shares during the year ended March 31, 2017 and 9,600 shares during the year ended 31 March 2016. The per share weighted average fair value of stock options granted during the year ended March 31, 2017 and 2016 were USD 1.41 and USD 1.97 respectively. The fair value of each stock option grant is estimated on the date of grant using the Black-Scholes option pricing model with the following assumptions:

	2017	2016
Dividend yield	5%	5%
Expected term	4 years	4 years
Risk free interest rate	6 - 9%	7.45%
Volatility	55 - 75 %	55 - 70 %

The unamortized stock compensation cost relating to unvested options as at March 31, 2017 and March 31, 2016 amounts to USD 57,385 and USD 15,642 respectively. The total fair value of shares vested was USD 6,480 and USD 4,890 during the years ended March 31, 2017 and 2016.

12. Commitments and contingencies

Leases

The Company is obligated under non-cancelable operating lease for office and residential space and equipments that are renewable on a periodic basis at the option of both the lessor and the lessee.

As at March 31, 2017, future minimum lease payments under non-cancelable leases are:

Year ending March 31, 2018	197,088
Year ending March 31, 2019	187,412
Year ending March 31, 2020	162,494
Year ending March 31, 2021	94,932
Total	641,926

Total rental expenditure under the operating lease, cancelable and non-cancelable was USD 215,346 and USD 237,762 for the years ended March 31, 2017 and 2016 respectively.

Capital Commitments

There were no capital commitments as of March 31, 2017 and 2016.

Contingencies and lawsuits

The Company is involved in lawsuits, claims, investigations and proceedings, including patent and commercial matters, which arise in the ordinary course of business. The Company believes that there are no such pending matters that are expected to have any material adverse effect on its financial statements.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
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13. Stockholders' equity and dividend:

The Company presently has one class of stock – common stock. For all matters submitted to vote in the stockholders' meeting, every holder of common stock as reflected in the records of the Company on the date of the stockholders' meeting shall have one vote in respect of each share held. In the event dividend is declared, it is recognized upon approval by the Board of Directors.

14. Subsequent events

The Company performs an evaluation of events that occur after the balance sheet date but before the financial statements are issued or available to be issued, for potential recognition or disclosure of such events in its financial statements. The Company evaluated all events or transactions that occurred between March 31, 2017 and July 29, 2017, the date the Company issued their financial statements and determined that no events or transactions which would require adjustments or disclosure in the Company's financial statements.